HEDGEYE DAILY DIGEST

Saturday, August 22, 2026 (GMT+8) — covering the Friday, August 21 (EDT) publishing day

*Keith McCullough spent Friday doing the opposite of what the tape suggested: he bought it. With the **S&P 500 only ~2% off its all-time high** on decelerating volume, he pushed his long-only book to its **maximum 30 positions** and widened **Real-Time Alerts to 12 longs versus a single short** — about as long as he has been since the last "raging **Quad 1 or 2**" environment in **2021**. The dollar is the engine underneath it: **USD** printed fresh cycle lows on Treasury intervention, **Gold** broke out another **+1.6%**, **Copper** ripped **+1.9%**, and **Bitcoin** flipped to **bullish TRADE and TREND**. The genuinely new information is the semiconductor complex healing — **KOSPI** held above the **6,697** TRADE breakout and **MU** and **MRVL** led the S&P higher — setting up an interesting **NVDA earnings** week. Hedgeye does not publish over the weekend, so this is the last full research day before Monday.*

TODAY'S PUBLICATIONS · Friday, August 21, 2026

EARLY LOOK — "A PARABLE OF AN OLD FISHERMAN"

Sam Rahman, Portfolio Manager at Hedgeye Asset Management · 08/21/26 07:36 AM EDT (07:36 PM GMT+8)

Friday's Early Look was handed to **Sam Rahman**, and he used it for something unusual in this format: a meditation on duration rather than a data dump. Framed around **Norman Maclean's** *A River Runs Through It* and a fly-fishing trip to the **Gallatin River** in Montana in **1997**, the argument is that markets reward stillness and observation over constant action — the guide who stood motionless in the river and made one delicate cast caught more fish than the novice thrashing the water for two hours.

The investment translation is about **duration as the unit of measure**. Rahman's core point is that a change in measurement can make the same decision right, then wrong, then right again: a market that rises over one year point-to-point can get there via a fast trip with violent twists or a slower trip on a smoother road, and neither path is "wrong" — but which one you are measuring determines whether you feel bullish, bearish or simply volatile.

He applies this directly to the live debates. **Is AI spending a bubble, or will new products justify the capex? How fast does the latest geopolitical upheaval reshape commodity logistics? How much does oil fall short-term if flows keep leaking through the Strait of Hormuz?** All of these have genuinely strong arguments on both sides — which means your **time horizon**, not your conviction, decides which risk actually matters to you today.

Investment implication: hold two opposing durations in mind at once, and let the Risk Range signals — not the narrative — dictate when each becomes actionable.

Risk Range™ Signals — 08/21/2026

Asset	Risk Range	TREND
10-Year U.S. Treasury Yield (UST10Y)	4.64 – 4.74	Bullish
High Yield (HYG)	79.41 – 79.83	Bullish
Investment Grade Corporates (LQD)	105.4 – 106.8	Bearish
S&P 500 (SPX)	7610 – 7835	Bullish
NASDAQ Composite (COMPQ)	25813 – 26798	Bullish

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Asset	Risk Range	TREND
Russell 2000 (RUT)	2976 – 3073	Bullish
Health Care (XLV)	168 – 176	Bullish
S&P 500 Equal Weight (RSP)	219.00 – 225.00	Bullish
Expanded Tech-Software (IGV)	99.00 – 107.00	Bullish
Volatility Index (VIX)	13.90 – 16.54	Bearish
U.S. Dollar Index (USD)	98.24 – 99.91	Bearish
WTI Crude Oil (WTIC)	81.25 – 87.92	Bullish
Natural Gas (NATGAS)	2.62 – 2.91	Bearish
Gold Spot (GOLD)	4322 – 4617	Bullish
Copper Spot (COPPER)	6.46 – 6.70	Bullish
Silver Spot (SILVER)	64 – 71	Bullish

KM'S TOP 3 THINGS — KOSPI / GOLD / VIX

Keith McCullough · 08/21/26 07:09 AM EDT (07:09 PM GMT+8)

McCullough's framing was blunt: **“Big Buying Opportunities in plenty of places yesterday on red.”**

KOSPI. Despite **SPY** correcting for the third day in four — still only **-2% from all-time highs** on **decelerating volume** — **Dr. KOSPI stayed green** after breaking out above the Hedgeye TRADE signal level of **6,697**. That mattered because it coincided with renewed **bullish TRADE and TREND signals in major US semis**, including **SNDK**, **MU** and **MRVL**, the latter two leading the S&P on the upside.

Gold. The **bullish TRADE and TREND breakout** extended, with Gold up another **+1.6%** as the **US Dollar got smoked to post-intervention lows**. He reiterated **long Gold, Euros and Yens versus a USD short**. **Bitcoin** and **Silver** both confirmed **bullish TREND breakout signals**, and **Dr. Copper blasted +1.9% higher** — Hedgeye is long **ICOP**.

VIX. Thursday delivered what he called **panic-selling by people who don't have our process**, and his response was to act: **12 longs and 1 short in Real-Time Alerts**, with **immediate-term TRADE #oversold signals** registering across US equities. Critically, **nothing changed mathematically** in the US equity vol regime — **SPX remains in the Investable Bucket** where he aggressively buys dips, **gamma is still positive**, and **1-month realized vol should slice below 3-month** post monthly OpEx. That points to **VIX downside to 13.90** — a new cycle low — paired with **new all-time SPX highs at 7,835**.

Immediate-term Risk Ranges: SPX = 7610–7835; UST 10yr Yield = 4.64–4.74%.

HEDGEYE DAILY DIGEST

Saturday, August 22, 2026 (GMT+8) — covering the Friday, August 21 (EDT) publishing day

THE MACRO SHOW — SUMMARY NOTES & REPLAY

Keith McCullough & Emma Vlasic · 08/21/26 10:05 AM EDT (10:05 PM GMT+8)

Positioning shifted aggressively long. The long-only account hit its **maximum of 30 positions**; Real-Time Alerts widened to **12 longs vs. 1 short** — roughly as long as McCullough has been since the last "raging **Quad 1 or 2**" around **2021**. He was explicit that this was not a discretionary prediction but a response to Risk Range, volatility and volume signals: a **~2% correction** inside an **Investable vol regime** is a systematic opportunity to add gross and net.

Semis improved materially. KOSPI back above its immediate-term TRADE breakout, **SanDisk** and DRAM signals back to **bullish TREND**, **MU** and **MRVL** the two largest positive S&P contributors the prior session. A **KOSPI move above 7,000** could produce a significant semiconductor move into **NVDA earnings**.

Gold/FX stays the high-conviction core. Long Gold, Yen, Euro; short USD — the dollar is his **largest short**, now at a **new cycle low** tied directly to **Treasury intervention**. Instruction: **do not sell Gold/Euro/Yen until they reach the tops of their published Risk Ranges**. He rotates dynamically, adding to whichever has fallen most and trimming the extended one — at showtime the **Euro was the most overbought** of the three.

Volatility drove the buy-the-dip call. Financials showed a **77% implied-volatility premium**; **Capital One (COF)** and **JPMorgan (JPM)** were bought in Real-Time Alerts, with **JPM** a buy on the open. **Monthly OpEx** mattered — he expected **1-month realized vol below 3-month**, with the market in **positive gamma**, supporting positive equity flows. Show deck: **VIX downside 13.90**, paired with potential new SPX highs.

International. Philippines (EPHE) called the clearest Asian buying opportunity of the week, bought twice via Real-Time Alerts, supported by **three consecutive upcoming Quad 1 regimes**. **Long New Zealand (ENZL) / short Qatar (QAT)** remains one of his favourite pairs. **Brazil is out** — his **biggest macro mistake of the last three months**, an **~4% loss**, exit despite attractive Quads because the signal deteriorated and political problems developed. **Colombia (COLO)** is a buy-the-dip into another **Quad 2** quarter. **Spain** is the strongest European signal, followed by **Greece**, with **Germany** still bullish.

New position. JEDI (Drone & Warfare ETF) was bought this week — a growth expression within military spending as defence/aerospace trends shift.

Crypto. Bitcoin flipped from bearish to bullish TRADE and TREND, attributed partly to the government catalyst; staying short a bullish TREND would contradict the process. But he is **not buying BTC here** — he prefers assets that are down — while still explicitly calling it "a long." **Solana, Avalanche and XRP** also flagged bullish TRADE/TREND, with no stated position.

Nvidia. Bullish **TRADE and TREND** into next week's earnings. Risk Range roughly **213 (low) to 230 (upper/initial upside target)**, with **TRADE ~212** and **TREND ~205**. The stock sold off ahead of the event; positioning and hedging dynamics should clarify Monday and Tuesday. **No new NVDA position announced.**

MOMO TRACKER — MAJOR US SEMIS SNDK, MU AND MRVL LED SPX

Christian Drake & Ryan Ricci · 08/21/26 08:39 AM EDT

The Friday tracker is a chart-and-table dashboard; the article body renders as image content only, so this is summarised from the headline and corroborating notes. The headline call is the **semiconductor leadership reversal**: **SNDK**, **MU** and **MRVL** led the S&P 500, a sharp turn from Thursday's momentum wreckage where the **High Beta Momentum basket collapsed -7.3% day-over-day**. The tracker runs off the Risk Range signals published that morning and does not reflect intraday updates.

CAPITAL ALLOCATION PRO — DAILY DASHBOARD | MODEL PORTFOLIOS

Robert McGroarty, Andrew Nanai, David Salem · 08/21/26 09:40 AM EDT

Model Portfolio changes went into effect using **closing prices on Wednesday, August 19th, 2026**. **TREND and TAIL levels for the 68 ETFs** were last refreshed using **July 31st** closing prices, on the standard **3–4 week update cycle**. A **Key Callouts video** was recorded **6 August 2026**, and the **August 2026 Monthly Commentary** was posted **August 5th**. The team also flagged its **UCITS-equivalent mapping** for European subscribers and a full **FAQ** covering Model Portfolio construction and the **Hubble algorithm** methodology.

SIGNAL STRENGTH STOCKS — 86 STOCKS

08/21/26 03:12 PM EDT (03:12 AM GMT+8, Aug 22)

The list shrank from **87** to **86** names. **Added: CRWD. Removed: LMT, DDOG.**

FROM THE DESK — MACRO WEEK SUMMARY NOTES | AUGUST 21ST, 2026

08/21/26 05:42 PM EDT (05:42 AM GMT+8, Aug 22)

The weekly wrap landed after the US close and is gated behind a separate microsite link, so it is summarised from the published contents list only. This edition covers the **Macro Dashboard**, **Weekly Macro Commentary**, **VIX Gauge**, the **U.S. Monthly Quad Forecast** and **Chart of the Week**.

ALSO PUBLISHED FRIDAY

08/21/26

ETF Pro Plus — UPDATE: 2 New ETF Pro Changes (10:07 AM EDT)

Bitcoin Trend Tracker — CRYPTO QUANT | BTC (+6.4%) (07:41 AM EDT); authors noted they are on the road, so content is mostly limited to Risk Range updates this week

Digital Assets — MSTR & BTC Treasury Tracker | Biweekly Update (06:49 AM EDT)

YESTERDAY'S PUBLICATIONS · Thursday, August 20, 2026

EARLY LOOK — “DOUBLE MAX MACRO!”

Keith McCullough · 08/20/26 08:22 AM EDT

What: McCullough's Early Look on the Treasury's aggressive long-end intervention — “Call it Yield Curve Control. Call it market manipulation” — and what it means for the currency book.

Why: The government needs a **weak dollar** to pump stocks and crypto, and Hedgeye's signals front-ran it. The **short USD (UUP)** signal saw it coming; the **Gold breakout (AAAU, GLD)** carries a **USD TRENDING inverse correlation of -0.93**; Thursday's **Bitcoin breakout** immediately picked up a **USD TRADE inverse correlation of -0.88**.

Who: Treasury Secretary “Bessy”; **Michael Saylor** took direct fire — “The Government Saved Bitcoin”; framed against **Brennan Manning's** *The Ragamuffin Gospel* on humility over certainty.

Key numbers: UST 2yr broke immediate-term TRADE support weeks ago; **UST 10yr** remains **bullish TRADE and TREND** at a **4.63–4.74%** Risk Range; the **10s-2s curve** is **+50bps** wide. The **Hedgeye August Inflation Nowcast** points to **headline CPI +3.48% y/y**, **+1bp** above the 08/13 estimate and **+12bps of sequential acceleration**, driven by Middle East energy disruption. The **Most Consensus Short Healthcare basket ramped +6.4%**, and core long **XLV was +3.5%** — one of its best days ever versus **XLK**.

Takeaway: Stay **long Gold, Euros, Yens** against a short dollar, but note all three are signalling **immediate-term TRADE #overbought within bullish TRENDs**. Bessent needs not just a down dollar but a **steepening curve** — and the August inflation print should help deliver it.

THE MACRO SHOW — SUMMARY NOTES & REPLAY

Robert Patrick Kent & Sam Rahman · 08/20/26 10:12 AM EDT

What: A dollar-centric show with one genuine strategic change — the team **flipped bullish on Energy**.

Why: RPK called the dollar the **“linchpin”** of current market action; its decline has materially improved his **global dollar-liquidity measure**. On Energy: resource constraints, falling inventories, tightening diesel availability, geopolitical disruption, plus upside if the dollar keeps weakening.

Who: RPK and Sam Rahman; the **Moderna/Merck Phase III multiple-myeloma study** was the immediate catalyst for the Healthcare short squeeze.

Key numbers: Dollar **-1%+ over two days**, **~-2.5% quarter-to-date**. **EUR/USD** long becoming overbought around **1.171**. **Gold +~4%** on the move, gold miners up **high-single to low-double digits**. **XLV +3.5%** while the **High Beta Momentum basket fell -7.3%**; QTD, **XLU -2.9%** vs **XLV +10.7%**.

Takeaway: XLV was trimmed, not exited; part of the **XLU short was covered** on the rates move. Regime is **Monthly Quad 3 forecast to transition to Monthly Quad 1 next month** — use volatility rather than chase it, hunting Signal Strength names near the low end of their ranges. Treasury intervention **did not change any Risk Range levels**; RPK doubts Treasury alone can contain the long end without Fed balance-sheet participation, which makes **Jackson Hole** the key tell.

MOMO TRACKER — HIGH BETA MOMENTUM BASKET -7.3% DoD

08/20/26 07:23 AM EDT

What: Momentum dashboard capturing the second consecutive day of momentum-basket destruction.

Key numbers: High Beta Momentum basket -7.3% day-over-day; **Widely Held Tech (XLK) -1.1% DoD**.

Takeaway: The unwind was concentrated in crowded high-beta momentum, not the broad tape — consistent with forced hedge-fund deleveraging rather than a fundamental repricing.

SIGNAL STRENGTH STOCKS — 87 STOCKS

08/20/26 03:44 PM EDT

What: Screen refresh, **3 added, 6 removed**, list down to **87** names (from **90** the prior session) before falling again to **86** on Friday.

Takeaway: Net churn out of the list across Wednesday–Friday, consistent with the momentum unwind flushing weaker signals before Friday's semiconductor recovery.

ALSO PUBLISHED THURSDAY

08/20/26

ETF Pro Plus — UPDATE: 1 New ETF Pro Change (09:50 AM EDT)

Bitcoin Trend Tracker — CRYPTO QUANT | BTC (+4.0%) (08:37 AM EDT)

Capital Allocation Pro — Daily Dashboard | Model Portfolios (08:18 AM EDT)

> **Watch into Monday: NVDA earnings** next week with the stock bullish TRADE/TREND but sold off into the print; **KOSPI 7,000** as the trigger level for a broader semiconductor move; whether the **US Dollar** holds its post-intervention cycle low; and the **Monthly Quad 3** → **Quad 1** transition the model is forecasting for September.